NOTE G INCOME TAXES

The income taxes (benefit) expense applicable to income from continuing operations consists of the following:

	Years Ended		
	July 1, 2005	June 30, 2004	June 30, 2003
		(In thousands)	
Current			
Federal	$ (7)	$ —	$ —
State	47	—	7
Deferred			
Federal	197	221	119
State	15	42	22
Valuation Allowance	(252)	(330)	956
	$ —	$ (67)	$ 1,104

Deferred tax assets are comprised of the following (in thousands):

	July 1, 2005	June 30, 2004
Deferred Tax Assets:		
Employee benefits	$ 550	$ 587
Accrued warranty costs	—	76
Bad debt reserves	175	394
All other reserves	391	300
Discontinued operations reserves	—	111
Alternative minimum tax credits	125	117
Net operating losses	1,401	1,244
Net operating losses of purchased business	915	915
State tax net operating losses	436	436
Depreciation	354	256
Other	31	15
Total Deferred Tax Assets	4,378	4,451
Valuation Allowance	(3,530)	(3,782)
Deferred Tax Liabilities:		
Goodwill	(83)	—
Net Deferred Tax Assets	$ 765	$ 669

Realization of deferred tax assets is dependent upon generation of sufficient income by Versar and in some cases sufficient income in specific jurisdictions and by specific office locations. As of July 1, 2005, the Company has provided a valuation allowance against deferred tax assets. A portion of the valuation allowance has been identified as relating to the excess tax benefit from the exercise of nonqualified stock options and will be charged to additional paid-in capital in future periods. At July 1, 2005, the Company had $125,000 of alternative minimum tax credit carryforwards which can be carried forward indefinitely. The Company has established a valuation allowance on the deferred tax assets at amounts expected to be realized in future periods.

SMC has net operating loss carryforwards of approximately $7.0 million for federal income tax purposes, which will expire in the years 2006 through 2012. Due to the substantial changes in SMC's ownership, there are limitations on the amount of the carryforwards that can be utilized.

A reconciliation of the Company's income tax (benefit) expense for the federal statutory rate is as follows:

	Years Ended		
	July 1, 2005	June 30, 2004	June 30, 2003
	(In thousands)		
Expected provision at federal statutory rate	$ 69	$ 382	$ 51
Change in valuation allowance	(252)	(330)	956
State income tax expense	60	51	5
Permanent items	41	30	44
Tax effect of non-qualified stock option exercised	—	—	2
NOL adjustments and other	82	(200)	46
	$ —	$ (67)	$ 1,104

Income taxes paid for the years ended July 1, 2005, June 30 2004, and 2003 were $39,000, $41,000, and $78,000, respectively.